

BECM 3107

TERMINATION OF CONSTRUCTION CONTRACT

Term Final Exam Study Guide

Easy English + বাংলা ব্যাখ্যা + Memory Techniques

Rules • Procedures • Damages • Case Study • Suspension • MCQs

SOURCE BASIS

Prepared strictly from the uploaded lecture “6.0 - Termination of Construction Contract.” The guide follows the lecture's terminology, numerical periods, examples, responsibilities, and suspension section.

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1. Master Map of the Lecture

See termination and suspension as one connected decision process.

Stage	Main topic	Memory cue
Agree	Mutual termination / rescission	BOTH AGREE
Breach	Unilateral termination for material breach	SERIOUS FAILURE
Cause	Contractor or owner terminates for stated grounds	PROVE THE CAUSE
Procedure	Notice and opportunity to cure	NOTICE BEFORE END
Aftermath	Site, payment, completion and settlement duties	STOP - SECURE - SETTLE
Wrongful	Expectation damages and completion costs	WRONG END = DAMAGES
Pause	Suspension keeps the contract alive	STOP NOW, CONTINUE LATER

Best answer formula: D-R-P-E-C

D-R-P-E-C

Definition → Rule → Procedure → Example → Conclusion. বাংলা: সংজ্ঞা → নিয়ম → পদ্ধতি → উদাহরণ → উপসংহার।

Numbers to remember

Number	Lecture rule
7 days	Written notice in several termination situations
30 days	Work stopped for listed reasons before contractor termination
60 days	Owner's contractual failure stops work continuously
120 / 365	Owner suspension or delay exceeds 120 days in a 365-day period

2. Meaning of Termination

Ending contractual performance permanently

Mutual termination

Because a contract is voluntary, the parties may mutually agree to end it. In the lecture this is called rescission.

Requirements for rescission

- Mutual assent - both parties agree.
- Meeting of the minds - both understand the same settlement.
- Consideration - each party gives or promises something of legal value.

BANGLA

Rescission = পারস্পরিক সম্মতিতে চুক্তি বাতিল/সমাপ্ত করা। Mutual assent = উভয় পক্ষের সম্মতি।

MEMORY: A-M-C

Assent → Meeting of minds → Consideration.

Easy distinction

Term	Effect
Termination	Future contractual performance ends
Suspension	Work stops temporarily, but the contract remains valid

3. Mutual Rescission: Example and Limits

Courts generally enforce a genuine mutual agreement

Lecture example

A contractor may already have started work but still agree to rescind the contract even though the owner has not yet paid for that work.

How courts treat consideration

- Courts typically do not ask whether the exchange was economically equal or reasonable.
- They usually enforce the mutual rescission when the legal requirements are present.

When rescission may be attacked

DURESS	FRAUDULENT INDUCEMENT
• Threat or improper pressure caused the agreement. • বাংলা: ভয় বা অস্বাভাবিক চাপ।	• One party was led to agree by deliberate deception. • বাংলা: প্রতারণা করে সম্মতি নেওয়া।

MEMORY: FREE AND INFORMED

A valid mutual rescission should be voluntary and honestly obtained.

4. Unilateral Termination

One party ends the contract without the other party's agreement

DEFINITION

Unilateral termination usually follows a serious failure to perform contractual duties. The lecture describes this serious failure as a material breach.

Material breach means

- A party is unwilling or unable to fulfil important contractual obligations.
- The failure goes to a significant part of the bargain, not merely a minor defect.
- The non-breaching party may be released from further performance and may terminate.

BANGLA

Material breach = চুক্তির গুরুত্বপূর্ণ দায়িত্বের গুরুতর লঙ্ঘন। Non-breaching party = যে পক্ষ চুক্তি ভাঙেনি।

MEMORY: SERIOUS + IMPORTANT + NON-PERFORMANCE

A minor problem is not automatically enough; termination requires a serious contractual basis.

5. For Cause and For Convenience

Two different legal bases for unilateral termination

Point	Termination for cause	Termination for convenience
Reason	Serious contractual reason, usually material breach	No fault or cause is required if the contract permits it
Proof	Terminating party must prove legal justification	Owner relies on the convenience clause
Risk	Wrong procedure or weak proof may make it wrongful	Can still be costly and lead to disputes
Drafting lesson	State grounds and procedure clearly	State compensation and procedure clearly

Burden of proof

For-cause termination places the burden on the terminating party to show that the other side failed to fulfil important contractual obligations.

MEMORY: CAUSE = CASE TO PROVE

For cause means evidence is required. Convenience means the contract itself gives a no-cause right.

Necessary vocabulary

Word	বাংলা অর্থ
For cause	যৌক্তিক/গুরুতর কারণে
For convenience	সুবিধার্থে, দোষ প্রমাণ ছাড়াই
Burden of proof	প্রমাণের দায়
Legally justified	আইনগতভাবে ন্যায্য

6. Contractual Termination Provisions

A valid reason is not enough - the procedure must also be followed

Effect of material breach

- The non-breaching party is excused from further contractual duties.
- It may legally terminate if the contract and law permit.

Strict procedural rule

The terminating party must strictly follow the notice, certification, cure period, and other steps stated in the contract. Failure can produce a wrongful termination even when genuine performance problems existed.

EXAM RULE

Always discuss both: (1) grounds for termination and (2) compliance with the contractual procedure.

MEMORY: REASON + ROUTE

Reason = legal ground. Route = required procedure. Both are necessary.

Quick problem method

Question	Ask
Ground	Was there a material or substantial breach?
Authority	Who was entitled to terminate?
Notice	Was written notice properly given?
Cure	Was the required opportunity/time provided?
Certification	Was an initial decision maker or A/E certificate required?

7. Termination by the Contractor for Cause

The 30-day stopped-work grounds

30-DAY RULE

The contractor may terminate if the work is stopped for 30 consecutive days for one or more of the grounds stated in the lecture.

Ground	Easy explanation
Court order / government act	All work is legally required to stop
No payment certificate	A/E neither issues the certificate nor explains withholding it
Owner does not pay	Certified payment is not made within the contract time
No evidence of financing	Owner fails to furnish required proof of financing

MNEMONIC: C-C-P-F

Court/Government → Certificate → Payment → Financing.

Bangla summary

টানা ৩০ দিন কাজ বন্ধ থাকলে এবং কারণটি আদালত/সরকারি নির্দেশ, পেমেন্ট সার্টিফিকেট, মালিকের অর্থপ্রদান, বা অর্থায়নের প্রমাণের সঙ্গে সম্পর্কিত হলে contractor-এর termination right তৈরি হতে পারে।

8. Additional Contractor Termination Grounds

Remember 120/365, 60 consecutive days, and 7-day notice

Trigger	Lecture period
Owner suspends or delays work	More than 120 days in any 365-day period
Owner fails contractual obligations and work stops	60 consecutive days
Contractor's written notice to owner and A/E	7 days before termination

Recovery after proper termination

- Payment for work already performed.
- Reasonable overhead and profit.
- Costs of termination.
- Damages, as stated in the lecture.

MEMORY: 120 - 60 - 7

Long owner suspension → continuous owner-default stoppage → written notice.

Important limitation

The contractor's termination right is limited to the specified reasons. If the contractor is even partially at fault for the relevant delay or the owner's failure, the lecture states that the contractor does not have the right to terminate.

BANGLA

Partially at fault = আংশিকভাবে দায়ী। Contractor নিজেও দায়ী হলে termination right হারাতে পারে।

9. Termination by the Owner for Cause

Four principal contractor defaults in the lecture

Ground	What it means
Insufficient skilled workers/materials	Repeated failure to provide proper labour or materials
Non-payment of subcontractors	Failure to pay subcontractors for labour or materials
Disregard of law	Repeatedly ignoring laws, ordinances, codes, rules, or regulations
Substantial breach	Other serious breach of the contract documents

MNEMONIC: W-P-L-B

Workers/materials → Payments → Laws → Breach.

Why “repeatedly” matters

The lecture repeatedly uses language showing ongoing or substantial failure. This supports the distinction between a material default and a minor, isolated problem.

BANGLA

Substantial breach = গুরুতর/উল্লেখযোগ্য চুক্তিভঙ্গ। Disregard = অমান্য বা উপেক্ষা করা।

10. Owner's Steps After For-Cause Termination

Certification, mitigation, exclusion, and possession

Before termination

- The initial decision maker must certify that the termination is justified, where the contract requires it.

After termination

- The owner may take immediate action to mitigate damages.
- Subject to the surety's rights, the owner may exclude the contractor from the site.
- The owner may take possession of construction equipment, tools, or materials remaining on site.

MEMORY: C-M-E-P

Certify → Mitigate → Exclude → Possess.

Key vocabulary

Term	বাংলা অর্থ
Initial decision maker	প্রাথমিক সিদ্ধান্তদাতা
Mitigate damages	ক্ষতি কমানোর ব্যবস্থা নেওয়া
Surety	জামিনদাতা/বন্ড প্রদানকারী
Take possession	দখল গ্রহণ করা

11. Financial Consequences of Owner Termination

Who pays after another contractor completes the project?

Payment position

- Unless termination is wrongful, the terminated contractor loses entitlement to payment until the work is finished.
- After completion, the contractor may receive any funds remaining under the original contract balance.
- If the replacement completion cost exceeds the remaining balance, the terminated contractor is liable for the difference.

Certification and accounting

- The A/E certifies the amount due to the owner or contractor at the end of construction.
- On request, the owner must provide a detailed accounting of completion costs.

SIMPLE FORMULA

Completion cost - unpaid contract balance = possible amount owed by the terminated contractor (when the termination is proper).

MEMORY: FINISH, CALCULATE, CERTIFY, ACCOUNT

Complete the work first; then determine and document the final financial position.

12. Notice of Termination

What a written termination notice should contain

Notice item	Purpose
Authorizing contract clause	Shows the legal/contractual basis
Effective date	States when termination begins
Extent of termination	Identifies whether all or part of the contract ends
Special instructions	Directs immediate required actions
Workforce-impact steps	Explains measures to reduce drastic personnel effects where relevant

MNEMONIC: C-D-E-I-P

Clause → Date → Extent → Instructions → Personnel steps.

Sample notice logic shown in the lecture

- Refer to the earlier notice of substantial breach.
- State whether the contractor failed to respond or cure within the required period.
- State the clause used and effective termination date.
- Arrange a site meeting and inventory of plant/equipment and remaining work.
- Direct removal of items by the stated date.

13. Notice and Opportunity to Cure

The 7-day period may prevent termination or reduce loss

Lecture rule

The owner should provide 7 days' written notice to the contractor and its surety. This may allow the contractor to remedy the identified problems and avoid termination.

When the period is too short

- A court may treat it not as a realistic cure period, but as time to mitigate termination losses.
- Mitigation steps may include laying off employees, removing equipment, and cancelling orders.

When cure is not intended

The contract should clearly state that termination will occur at the end of the notice period regardless of attempted cure or changed conduct.

No stated notice period

The lecture states that courts generally find a notice period is required and that it gives the contractor an opportunity to cure.

MEMORY: NOTICE = CURE OR PREPARE

The notice either gives a real chance to fix the default or at least time to reduce the consequences.

14. Responsibilities of a Terminated Contractor - Part 1

Immediate operational steps

Responsibility	Easy meaning
Cease terminated work	Immediately stop performing and issuing subcontracts for the terminated portion
Terminate related subcontracts	End subcontracts connected to the terminated portion
Alert the Contracting Officer	Report circumstances preventing stoppage
Continue unaffected work	Keep performing non-terminated portions
Seek equitable adjustment	Promptly request adjustment for continued portions where justified

MNEMONIC: S-T-A-C-A

Stop → Terminate subcontracts → Alert → Continue remainder → Adjustment.

Partial termination idea

A termination may affect only part of the contract. The contractor must separate ended work from continuing work and manage both correctly.

15. Responsibilities of a Terminated Contractor - Part 2

Property, liabilities, proposal, and inventory

Responsibility	Purpose
Preserve property	Protect property the Government owns or may later own
Notify legal proceedings	Give written notice of claims or proceedings related to terminated subcontracts/commitments
Settle liabilities	Resolve outstanding termination liabilities and subcontract proposals
Submit settlement proposal	Provide a prompt proposal supported by sufficient evidence
Dispose of inventory	Handle terminated inventory as required

MNEMONIC: P-N-S-S-D

Preserve → Notify → Settle → Submit → Dispose.

Documentation principle

The settlement proposal should be supported by sufficient evidence. Keep records of costs, property, subcontracts, cancellation actions, and inventory.

BANGLA

Settlement proposal = সমাপনী আর্থিক দাবি/নিষ্পত্তির প্রস্তাব। Inventory = মজুদ সামগ্রী।

16. Wrongful Termination

When the stated default or procedure does not justify ending the contract

Lecture grounds for wrongful termination

- The allegation or verification of inadequate performance was untrue.
- The performance problem did not rise to the level of material breach.
- The non-breaching party had waived or excused compliance with the requirement at issue.

MEMORY: FALSE - MINOR - WAIVED

False allegation, minor breach, or waived requirement can defeat a for-cause termination.

Procedure can also make termination wrongful

Earlier slides emphasize strict compliance with contractual termination procedures. Therefore, inadequate notice, cure, certification, or authority can also create major risk.

BANGLA

Wrongful termination = বেআইনি বা চুক্তিবিরোধীভাবে সমাপ্তি। Waiver = অধিকার/শর্ত প্রয়োগ না করার আচরণ।

17. Damages for Wrongful Termination

Expectation damages restore the position expected from proper performance

Who was wrongfully terminated?	Lecture recovery
Contractor	Termination costs; reasonable labour and material costs incurred; lost profits on the entire job
Owner, because contractor wrongfully terminated	Extra costs incurred to complete the project

Damages not awarded

The lecture states that punitive damages are not awarded for wrongful termination.

EXPECTATION DAMAGES
Compensation intended to place the injured party in the financial position expected if the contract had been properly performed.

MEMORY: COSTS + PERFORMANCE + PROFIT
For a wrongfully terminated contractor: termination costs, incurred performance costs, and lost profits.

Vocabulary

Term	বাংলা অর্থ
Expectation damages	প্রত্যাশিত সুবিধা হারানোর ক্ষতিপূরণ
Punitive damages	শাস্তিমূলক ক্ষতিপূরণ
Lost profits	হারানো লাভ
Completion costs	কাজ শেষ করার অতিরিক্ত খরচ

18. Case Study: Pipeline Deadline and Termination

Time was of the essence



Step	Lecture facts and decision
1. Deadline	Owner clearly required 100 miles of pipeline to be completed by April 30, 1997; contractor increased its bid by about 10% because of the deadline.
2. Progress	After 8 of the 14 weeks, only 15 miles had been completed.
3. Breach	Because time was of the essence and timely completion was virtually impossible, missing the deadline was a material breach; the termination was not wrongful.
4. Owner's damages	The owner failed to prove that replacement completion costs were reasonable, so the damages award to the owner was reversed/cancelled.

CASE LESSON 1

A clearly essential deadline can make inability to finish on time a material breach.

CASE LESSON 2

Even a party entitled to terminate must prove that claimed completion damages are reasonable.

MEMORY: 100 - 15 - 8 - TIME ESSENTIAL

100-mile job; 15 miles after 8 weeks; deadline was fundamental.

19. Termination versus Suspension

Permanent ending compared with a temporary stoppage

Point	Termination	Suspension
Nature	Permanent end of all or part of contractual performance	Temporary cessation of all or part of construction
Contract status	Ended to the terminated extent	Remains legally valid and enforceable
Future work	Normally completed by others or settled	May restart after the problem is resolved
Rights/obligations	Shift to termination, completion and settlement duties	Existing rights and obligations continue
Purpose	End a failed or no-longer-needed contractual relationship	Protect the project and parties while a problem is addressed

MEMORY: TERMINATION = END; SUSPENSION = PAUSE

সমাপ্তি বনাম সাময়িক বিরতি।

20. Suspension of a Construction Contract

Temporary cessation while the contract stays alive

DEFINITION

Suspension is the temporary stoppage of construction activities for a specified period. The contractor stops part or all work until problems or conditions are resolved, but the contract remains valid and enforceable.

Why suspension is used

- To protect the owner and contractor.
- To protect workers and nearby communities.
- To protect the project when continuing may create financial, technical, legal, quality, or safety problems.

Four characteristics

T-N-R-R	Meaning
Temporary	It is not a permanent end
Not terminated	The contract still exists
Restart possible	Construction may resume later
Rights remain	Both parties' rights and duties continue

MNEMONIC: T-N-R-R

Temporary → Not terminated → Restart → Rights remain.

21. Causes and Reasons for Suspension

Financial, technical, safety, external, and contractual causes

Cause group	Examples from lecture
Financial	Owner non-payment; contractor financial insolvency; lack of funds affecting materials and labour
Design / quality	Serious design errors, specification problems, or structural defects
Safety / environment	Unsafe conditions, accidents, environmental hazards
Beyond control	Natural disasters, floods, earthquakes, political unrest, government restrictions, material shortages
Contract / dispute	Violation of terms, failure to follow specifications, or disputes between parties

MNEMONIC: F-D-S-E-C

Finance → Design → Safety → External events → Contract/dispute.

Easy Bangla

Suspension-এর কারণ হতে পারে অর্থের অভাব, design/specification সমস্যা, নিরাপত্তা ঝুঁকি, প্রাকৃতিক/সরকারি বাধা, অথবা contract violation ও dispute।

22. Types of Suspension

Classify by extent and by cause/choice

Type	Meaning	Bangla cue
Partial suspension	Only a particular portion stops; remaining work continues	আংশিক বন্ধ
Total suspension	All construction activities stop temporarily	সম্পূর্ণ সাময়িক বন্ধ
Voluntary suspension	Initiated by owner or contractor through agreement or project requirement	সম্মত/ইচ্ছাকৃত বন্ধ
Involuntary suspension	Caused by unavoidable external events such as severe weather, war, or government action	অনিবার্য বাহ্যিক কারণে বন্ধ

MEMORY: P-T-V-I

Partial → Total → Voluntary → Involuntary.

Two classification questions

- How much work stopped? Partial or total.
- Why/how did it stop? Voluntary or involuntary.

23. Procedure of Suspension

A five-step control cycle

Step	Action
1. Identify problem	Recognize a serious safety, quality, finance, or compliance issue
2. Issue notice	Owner, engineer, or contractor formally issues notice under contract conditions
3. Stop work temporarily	Part or all construction activity is halted
4. Investigate and correct	Responsible parties investigate and take corrective action
5. Resume work	Permission is given after the issue is resolved

MNEMONIC: I-N-S-C-R

Identify → Notice → Stop → Correct → Resume.

Exam language

A proper suspension is not simply walking off the site. It should be linked to the contract, formal notice, investigation, corrective measures, and authorized resumption.

24. Consequences of Suspension

Time, cost, legal, and relationship impacts

Impact	Lecture consequence
Time	Delay in completion and possible extension of contract time
Cost	Idle labour/machinery, storage, administration, and reduced productivity
Legal/contractual	Compensation claims, disputes, arbitration or litigation, and schedule revision
Stakeholders	Effects on owners, contractors, subcontractors, suppliers, and workers
Relationship/reputation	Long suspensions can harm professional relationships and business reputation

MNEMONIC: T-C-L-S-R

Time → Cost → Legal → Stakeholders → Reputation.

Bangla terms

Term	বাংলা অর্থ
Idle labour/machinery	অকর্মণীয় শ্রমিক/যন্ত্রের খরচ
Extension of time	সময় বৃদ্ধি
Reduced productivity	উৎপাদনশীলতা হ্রাস
Business reputation	ব্যবসায়িক সুনাম

25. Essential Vocabulary

Necessary English words with Bangla meanings

English	বাংলা অর্থ	Quick cue
Termination	চুক্তির সমাপ্তি	End
Rescission	পারস্পরিকভাবে চুক্তি বাতিল	Mutual end
Unilateral	একতরফা	One side
Material breach	গুরুতর চুক্তিভঙ্গ	Serious failure
Default	দায়িত্ব পালনে ব্যর্থতা	Failure
Convenience	সুবিধার্থে	No cause
Cure	ত্রুটি সংশোধন	Fix
Mitigate	ক্ষতি কমানো	Reduce loss
Surety	জামিনদাতা/বন্ডকারী	Bond party
Expectation damages	প্রত্যাশিত ক্ষতিপূরণ	Expected position
Suspension	সাময়িক কাজ বন্ধ	Pause
Insolvency	দেউলিয়াত্ব/অর্থ পরিশোধে অক্ষমতা	No funds
Cessation	বন্ধ হওয়া	Stop
Settlement proposal	নিষ্পত্তির প্রস্তাব	Final claim
Equitable adjustment	ন্যায্য সমন্বয়	Fair adjustment

WORD-PAIR MEMORY

Termination/End, Suspension/Pause, Cure/Fix, Mitigate/Reduce, Default/Failure.

26. Model Answer Frameworks

Use these structures for written questions

A. Explain termination by the owner for cause

- Define for-cause termination and material breach.
- List W-P-L-B grounds: workers/materials, payments, laws, substantial breach.
- Explain required certification and notice/cure procedure.
- Describe mitigation, site exclusion, possession, completion, and final accounting.
- Conclude that failure to prove the ground or follow procedure may be wrongful.

B. Explain contractor termination for cause

- State the 30-day grounds and C-C-P-F mnemonic.
- Add the 120/365 and 60-day rules.
- Mention 7-day written notice to owner and A/E.
- State recovery: work done, overhead/profit, termination cost, damages.
- Mention the partial-fault limitation.

C. Distinguish termination and suspension

- Permanent versus temporary; contract ended versus still valid; replacement/settlement versus later resumption.

27. MCQ Practice

Try without looking at the answers

1. Mutual termination is called:
 - A. Ratification
 - B. Rescission
 - C. Suspension
 - D. Acceleration
2. A serious failure of an important obligation is:
 - A. Material breach
 - B. Waiver
 - C. Cure
 - D. Escrow
3. The contractor's 30-day grounds include:
 - A. Owner preference
 - B. Unexplained failure to issue payment certificate
 - C. Minor defect
 - D. New subcontractor
4. The lecture's notice period often used before termination is:
 - A. 3 days
 - B. 5 days
 - C. 7 days
 - D. 14 days
5. Which is an owner for-cause ground?
 - A. Contractor disregards laws repeatedly
 - B. Owner changes design taste
 - C. Weather is pleasant
 - D. Bid is low
6. Wrongful termination normally gives:
 - A. Punitive damages automatically
 - B. Expectation damages
 - C. No remedy
 - D. Only an apology
7. Suspension means:
 - A. Contract always ends
 - B. Temporary stop while contract remains valid
 - C. Immediate rescission
 - D. Permanent abandonment
8. Partial suspension means:
 - A. All work ends
 - B. Only a specific portion stops
 - C. Contract is void
 - D. Owner pays no one
9. Correct suspension procedure begins with:
 - A. Final account
 - B. Identify the problem
 - C. Litigation
 - D. Rescission
10. A suspension consequence is:
 - A. Idle equipment cost
 - B. Guaranteed profit increase
 - C. Automatic contract cancellation
 - D. No schedule effect

ANSWER KEY

1-B, 2-A, 3-B, 4-C, 5-A, 6-B, 7-B, 8-B, 9-B, 10-A

28. Final Revision Sheet

One-page recall before the exam

Termination flow

FLOW

Agreement/Rescission OR Material Breach → Prove Ground → Give Notice → Allow Cure if required → Terminate → Secure Site/Property → Finish Work → Certify/Settle → Assess Damages.

Core mnemonics

Topic	Mnemonic
Mutual rescission	A-M-C
Contractor 30-day grounds	C-C-P-F
Owner for-cause grounds	W-P-L-B
Owner post-termination steps	C-M-E-P
Notice contents	C-D-E-I-P
Contractor immediate duties	S-T-A-C-A
Contractor settlement duties	P-N-S-S-D
Suspension procedure	I-N-S-C-R
Suspension consequences	T-C-L-S-R

Probable written questions

- Explain mutual rescission and its legal requirements.
- Distinguish termination for cause and termination for convenience.
- Discuss termination by the contractor for cause, including the stated time periods.
- Explain the grounds and procedure for termination by the owner for cause.
- What must a notice of termination contain?
- Explain notice and opportunity to cure.
- Discuss the responsibilities of a terminated contractor.
- Explain wrongful termination and available damages.
- Discuss the pipeline deadline case study and its lessons.
- Define suspension and explain its causes, types, procedure, and consequences.

FINAL EXAM RULE

In every termination problem, write about the ground, authority, notice, cure, certification, mitigation, financial consequences, and damages.